

TaiwanAlpha

Institutional Equity Flow Data as a Subscription API

Big Data Systems | Final Project Report

National Taiwan University | Spring 2026

GitHub: github.com/nonamenane/Designing-a-System-That-Monetizes-Data-Final_project

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1. Target Customer

TaiwanAlpha's primary customer is the independent quantitative trader or small quant fund operating in Taiwan equity markets. This segment is typically composed of individuals or teams of 1-5 people who build systematic trading strategies based on market microstructure signals but lack the infrastructure to ingest, clean, and store institutional flow data themselves.

1.1 Primary Customer Persona

Attribute	Description
Role	Quant trader, algo developer, or small prop desk analyst
Company size	Solo / 2-10 person fund or family office
Location	Taiwan-based, trading TWSE/TPEX listed stocks
Technical skill	Proficient in Python/R; comfortable with REST APIs
Current tools	Manually downloading CSV from TWSE; Bloomberg (too expensive)
Job-to-be-done	Identify stocks with unusual institutional accumulation before price moves
Pain point	TWSE CSV released after market close, no history beyond 30 days, no API

Table 1 - Customer persona for TaiwanAlpha

1.2 Secondary Segments

- Financial media & newsletter writers: Need pre-processed institutional flow summaries to publish daily market briefings.
- FinTech app developers: Embed institutional signal widgets in retail trading apps via API (B2B2C).
- Academic researchers: Need multi-year clean panel data for empirical studies on informed trading.

1.3 Why This Segment Is the Right Wedge

Quant traders have high willingness to pay for data that saves research time, have the technical ability to integrate an API immediately, and are small enough that Bloomberg Terminal (\$24,000/year) is cost-prohibitive. This creates a clear price gap between \$0 (manual TWSE CSV) and \$24,000/year (Bloomberg) that TaiwanAlpha fills at \$29-\$99/month.

Key Insight

Taiwan has approximately 1,700 listed companies and over 500,000 retail brokerage accounts. A 2024 survey by the Financial Supervisory Commission found that 18% of active retail traders described themselves as quantitative or systematic - roughly 90,000 potential users.

2. Evidence of Demand and Willingness to Pay

This section documents the full data-acquisition process used to validate that the problem is real and that customers would pay for the solution. Evidence was collected through three independent methods: community forum analysis, job posting keyword analysis, and competitor pricing benchmarks.

Method 1: PTT & Mobile01 Forum Analysis

We scraped 2,400 posts from PTT board Stock and Mobile01 finance subforum between January 2024 and March 2026. Posts were filtered by keywords: 'san da fa ren' (three institutions), foreign investor net buy, chips, margin trading, and main force buy/sell. The following insights emerged:

Metric	Value
Total posts analyzed	2,417
Posts mentioning institutional data	634 (26.2%)
Posts complaining about TWSE CSV UI	189 (7.8%)
Requests for historical data API	97 (4.0%)
Avg. replies on institutional posts	14.3 (vs 8.1 for non-institutional)
Would pay for cleaner data (survey)	81% positive (50-post manual coding sample)

Table 2 - PTT/Mobile01 forum analysis results (Jan 2024 - Mar 2026)

Method 2: Job Posting Keyword Analysis

We queried 104.com.tw and CakeResume for job postings requiring 'Taiwan stock data pipeline' or institutional API skills between 2023 and 2026. Of 312 postings found, 78 listed data acquisition from TWSE as a core responsibility. Median salary for these roles: NT\$65,000/month (~\$2,000 USD). Even one hour of saved daily engineering time at this rate equals approximately \$400/month - far exceeding our Pro tier price of \$99/month.

Method 3: Competitor Pricing Benchmarks

We analyzed five existing Taiwan data products to establish pricing expectations:

Product	Data Type	Price	Gap vs TaiwanAlpha
Bloomberg Terminal	Global incl. TW	\$2,000/mo	1000x more expensive
FinMind	TWSE historical OHLCV	\$10-30/mo	No institutional flow
TEJ (Taiwan Econ.)	Full fundamentals	\$500+/mo	Enterprise only
GoodInfo.tw	Institutional flow UI	Free (UI only)	No API
CMoney	Retail charting	\$15-40/mo	No programmatic access
TaiwanAlpha (ours)	Institutional+signals	\$29-\$99/mo	-

Table 3 - Competitive landscape and pricing benchmarks (highlighted row = TaiwanAlpha)

Willingness-to-Pay Summary

Evidence Source	Implied WTP
Forum sentiment (PTT/Mobile01)	81% would pay; median acceptable: NT\$500-1000/mo
Engineering cost savings	~\$400/mo in avoided labor at median quant dev salary
Competitor price gap	Cheapest API competitor lacks key features; next tier is 5-17x more expensive
User survey (n=10)	7/10: \$29/mo 'definitely worth it'; 4/10: \$99/mo 'probably worth it'

Table 4 - Willingness-to-pay evidence summary

3. System Design

3.1 Data Sources

Source	Data	Method	Refresh
TWSE Open API	OHLCV, institutional flow	REST GET (JSON)	Daily 18:00
TPEX Open API	OTC market data	REST GET (JSON)	Daily 18:30
TWSE FTP	Historical bulk data	FTP download	One-time + monthly
TAIFEX (future)	Futures/options positions	REST GET	Daily

Table 5 - Data source overview

3.2 Architecture Overview

The system follows a medallion architecture with three data layers (raw, silver, gold) separated by transformation quality, implemented on a lightweight stack suitable for early product-market fit. At scale, the batch processing layer would migrate to Apache Spark on AWS EMR.

Layer	Technology	Role
Ingestion	Python + requests	Scheduled fetcher from TWSE/TPEX APIs; writes raw JSON to Parquet
Message Queue	Apache Kafka	Decouples ingestion from processing; enables replay on failure
Raw Storage	S3 / Local Parquet	Immutable raw data lake; daily partitioned by date
Processing	pandas / PySpark	Cleaning, feature engineering, alpha signal computation
Silver DB	DuckDB (OLAP)	Cleaned time-series tables; fast range queries per stock
Gold Cache	Redis	Pre-computed signals for sub-20ms API response time
Delivery	FastAPI + Uvicorn	Tiered REST API; rate limiting via API key middleware
Auth/Billing	Stripe + PostgreSQL	Subscription management, usage tracking, invoice generation
Monitoring	Prometheus + Grafana	Data freshness alerts, API latency, ingestion failure tracking

Table 6 - System component overview (medallion architecture)

3.3 Architecture Diagram

End-to-end data flow from TWSE public APIs through to the tiered customer-facing API:

TWSE Open API (Public REST)	->	Python Ingestion (Scheduler)	->	Raw Parquet (S3 / Local)
TPEX Open API (OTC market)		Apache Kafka (Message Queue)		

		pandas / PySpark (Feature Engineering)	->	DuckDB Silver (OLAP Store)
		Alpha Signal Computation	->	Redis Cache (Gold Layer)
		FastAPI (Tiered REST API)		
Free Tier (7d price)		Starter (\$29/mo) (90d + Inst. Flow)		Pro (\$99/mo) (Signals + Screener)

Figure 1 - End-to-end system architecture diagram

3.4 Storage & Processing Technologies

- **DuckDB (OLAP):** Chosen over PostgreSQL for its zero-infrastructure setup and vectorized columnar execution. Ideal for time-series range scans across 1,700 stocks dating back 3 years (~5M rows). Queries run in under 200ms locally.
- **Parquet (raw layer):** Column-oriented binary format with Snappy compression. 1 year of TWSE institutional data for all listed stocks compresses to ~80MB vs ~400MB CSV.
- **Apache Kafka (message queue):** Decouples the daily ingestion job from the processing pipeline. If TWSE API is slow or returns malformed data, messages queue and processing retries without data loss.
- **Redis (gold cache):** Pre-computed signals stored as hashes (key: stock_no:date). Eliminates DuckDB query overhead for frequent API calls; target p99 latency < 20ms.
- **FastAPI:** Async Python web framework. Chosen for lower overhead and native async support compared to Django REST.

3.5 API Tier Design

The customer-facing product is a REST API with four tiers enforced at the middleware layer by API key lookup:

```
GET /v1/price/{stock_no}      Free: 7d | Starter: 90d | Pro: 3yr
GET /v1/institutional/{stock_no} Starter+ required
GET /v1/signals/{stock_no}    Pro+ required (alpha signals)
GET /v1/screener              Pro+ required (screen all stocks)
```

3.6 Scalability Sketch

Scale	Users	Req/Day	Architecture	Est. Infra Cost/mo
Current (MVP)	<100	~2,000	DuckDB local + FastAPI single instance	~\$30
10x	~1,000	~20,000	DuckDB -> PostgreSQL; add Redis; CDN	~\$200
100x	~10,000	~200,000	Spark on EMR; DynamoDB; multi-region API	~\$2,000-5,000

Table 7 - Scalability roadmap

4. Go-to-Market Difficulties (Bonus)

4.1 Trust and Data Accuracy

Quantitative traders are skeptical of third-party data products because a single bad data point can trigger a wrong trade and cost real money. Building trust requires transparent data provenance (linking every record back to the TWSE source URL), a public status page showing ingestion health, and an SLA with a credits-for-downtime policy.

4.2 Cold-Start: No Historical Depth at Launch

TWSE Open API only provides recent data. To offer 3-year history on day one, we must bulk-download historical CSV archives from TWSE FTP and backfill the database before launch. This is a one-time engineering cost (estimated 2 weeks) but is a hard prerequisite for the Pro tier.

4.3 Legal and Data Terms of Service

TWSE's open data license permits non-commercial and commercial use for derived products, but reselling raw TWSE data as-is may conflict with their terms. Our product sells derived signals and API access - not raw data reproduction - which is a defensible position, but legal review is required before launch. GDPR/PDPA applies to user account data.

4.4 Competition from Well-Funded Incumbents

FinMind (Taiwan) offers OHLCV at similar price points. TEJ has deep relationships with institutional clients. Our moat is speed (API-first vs. their file-download model), the alpha signal layer (no competitor offers this at under \$100/mo), and developer experience (interactive Swagger docs, Python SDK).

4.5 Unit Economics

Infrastructure cost at MVP scale is ~\$30/month. A single Starter subscriber covers it. Breakeven requires approximately 3-5 paying subscribers. The real cost is engineering time. Target: 50 paying users to be operationally self-sustaining, 200 users to be profitable at founder salaries.

Scenario	Subscribers	MRR	Infra	Net MRR
Pre-revenue	0	\$0	\$30	-\$30
Breakeven	3 Starter + 1 Pro	\$186	\$30	+\$156
Target Y1	30 Starter + 10 Pro	\$1,860	\$100	+\$1,760
Growth Y2	100 Starter + 40 Pro	\$6,860	\$300	+\$6,560
Scale Y3	2 Enterprise + 300 mixed	\$15,000+	\$2,000	+\$13,000+

Table 8 - Unit economics scenarios

4.6 Customer Acquisition

Primary channels: PTT Stock board, Mobile01 finance, Quantitative Finance Taiwan Facebook group (~8,000 members), and GitHub (open-source demo notebooks). A freemium model with a generous free tier reduces acquisition friction and generates organic word-of-mouth.

5. Repository Structure & API Key Guide

5.1 Repository Structure

Full source code: github.com/nonamenane/Designing-a-System-That-Monetizes-Data-Final_project

```
taiwanalpha/
  ingestion/twse_ingestion.py      # TWSE Open API fetchers + batch pipeline
  storage/schema.py                # DuckDB schema + medallion architecture
  processing/feature_engineering.py # Institutional momentum + margin signals
  delivery/api.py                  # FastAPI REST API with tier enforcement
  data/                            # DuckDB + Parquet files (gitignored)
  requirements.txt
  README.md
```

5.2 How to Obtain and Use an API Key

Since TaiwanAlpha is an MVP, API keys are managed through a simple in-code dictionary in `delivery/api.py`. No sign-up or payment is needed for grading - four demo keys are pre-built and ready to use immediately after starting the server.

Demo Keys (ready to use - no setup needed)

API Key	Tier	Req/Day	History	Signals
demo-free-key-001	Free	10	7 days	No
demo-starter-key-001	Starter	500	90 days	No
demo-pro-key-001	Pro	Unlimited	3 years	Yes
demo-enterprise-key-001	Enterprise	Unlimited	10 years	Yes

Table 9 - Pre-built demo API keys. Pass as HTTP header: X-API-Key

How to call the API

```
# 1. Start the server
uvicorn delivery.api:app --reload --port 8000

# 2. Pro tier - alpha signals for TSMC (2330)
curl -H "X-API-Key: demo-pro-key-001" http://localhost:8000/v1/signals/2330

# 3. Starter - institutional flow for Hon Hai (2317)
curl -H "X-API-Key: demo-starter-key-001" http://localhost:8000/v1/institutional/2317

# 4. Free tier (no key needed) - price data
curl http://localhost:8000/v1/price/2454

# 5. Interactive docs (Swagger UI)
open http://localhost:8000/docs
```

Add a custom key for testing

To use any string as an API key, open `delivery/api.py` and add one line to `MOCK_KEYS`:

```
MOCK_KEYS = {  
    ...existing keys...  
    "my-custom-key-xyz": "pro",    # <-- add this line, choose any tier  
}
```

Production key issuance (future roadmap)

In production, new API keys are issued automatically: (1) user registers at `taiwanalpha.io/signup`, (2) selects a tier and pays via Stripe Checkout, (3) a Stripe webhook triggers the backend to generate a UUID key, store it in PostgreSQL with tier + quota, and email it to the user. The API code itself requires no changes - only the `MOCK_KEYS` lookup is replaced by a database query.

Conclusion

TaiwanAlpha demonstrates a clear path from public data to recurring revenue: TWSE's institutional flow data is free, underserved as an API product, and has a validated customer base willing to pay \$29-\$99/month. The technical system is built on industry-standard big data tools (Kafka, Parquet, DuckDB, Spark-ready), is deployable from a single machine for the MVP phase, and scales to production workloads with well-understood architectural migrations. The business model is capital-efficient: breakeven requires fewer than five paying subscribers.